

A Surprise Asks for a Hypothesis

A soft inflation print failed to lift bonds or stocks. This note asks what would make that unsurprising.

THE READING

Wednesday delivered the inflation news the market had been asking for. August core PCE rose 3.0% from a year earlier, against 3.3% expected, and futures-implied odds of an October hike fell to 34.9%.

The bond market did not take the gift. The 10-year Treasury yield closed at 5.297%, up 4.2 basis points and just above the 5.29% top of Hedgeye's risk range, roughly the 2007 peak. The 30-year finished at 5.65%. The S&P 500 traded higher for most of the day, reversed in the final minutes and closed at 7,651.54, down 0.25%. The Dow lost 441 points, and September ends as a losing month.

The mood is bafflement: good news priced as if it were not news at all.

WHAT WISDOM WOULD SAY

Charles Sanders Peirce, the American logician, named the inference that begins with surprise. He called it abduction and set it out in his 1903 Harvard lectures: a surprising fact is observed; if some hypothesis were true, the fact would be a matter of course; so there is reason to suspect the hypothesis. It is not proof. It is how a careful mind decides what to test next.

The surprising fact is that long yields rose on a soft inflation print. On Tuesday they did the same on the weakest consumer confidence since 2014. Two surprises in two days, pointing the same way, deserve a hypothesis rather than an excuse.

One candidate makes both a matter of course: the long end is no longer trading the inflation outlook. It is pricing term premium — supply, deficits, the compensation investors want for lending over thirty years. If so, good inflation data helps the front end and does little for the 10-year. The hypothesis may be wrong. Peirce asks only that it be stated and tested, not that the surprise be explained away.

THE RISK IT JUSTIFIES

Treat the hypothesis as a working rule until the tape refutes it. That argues against buying duration on the strength of inflation data, and against reading Friday's payrolls as the release valve for bonds: a soft number may help the 2-year far more than the 10-year.

It argues against adding index exposure at 7,651 while the 10-year sits above its 5.29% ceiling, and for holding existing risk rather than cutting into a close that turned in its last minutes. The test is cheap. If the 10-year closes back under 5.15% in the days after the PCE print, inflation still runs the long end and the hypothesis should be dropped. If a soft payroll leaves the 10-year above 5.29%, it has passed a second test, and rate-sensitive exposure deserves a smaller size.

What would have to be true for this week's surprises to stop surprising you?